is a just one, nor is the court to act as a mere puppet in the matter." (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because "[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose." (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. **Attorney fees**

Plaintiff seeks 33 1/3% of the total settlement amount as fees, relying on the "common fund" theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: "If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Id*., at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel are directed to prepare a lodestar fee estimate for the motion for final approval.

The reasonableness of litigation costs and the settlement administrator's fees will be considered at final approval.

Similarly, the requested representative payment of $7,500 for each plaintiff will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. **Conclusion**

The Court finds that the agreement is sufficiently fair, reasonable, and adequate, to justify preliminary approval. The motion is granted.

Counsel are directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

7. 9:00 AM CASE NUMBER: C24-02677
CASE NAME: AMERICAN MLB FEDERAL INVESTMENTS VS. SHERI KELLEHER
HEARING ON DEMURRER TO: CROSS-COMPLAINT OF SHERI KELLEHER AND PAUL JONATHAN
FILED BY: SANDERS RANCH HOMEOWNERS ASSOCIATION
TENTATIVE RULING:

Before the Court are a demurrer and a motion to strike, filed by cross-defendant Sanders

Ranch Homeowners Association ("HOA"), to the cross-complaint filed by cross-complainants Sheri Kelleher and Paul Crinks. The **demurrer is sustained with leave to amend**, as discussed below. The **motion to strike is denied as moot**. Cross-complainants shall file any amended cross-complaint on or before July 27, 2026.

I. Factual Background

The initial complaint by plaintiffs, American MB Federal Investments and Mario Mapoy, involves claims to an easement over the property of cross-complainants. Cross-complainants' properties are within the boundaries of defendant HOA, which they now sue, along with other defendants, alleging: (1) Breach of Contract; (2) Breach of Implied Warranty of Good Faith and Fair Dealing; (3) Deceit, Suppression of Material Facts – Civil Code section 1710(3); (4) Negligent Misrepresentation; (5) Breach of Duty to Advise and Disclose/Breach of Duty to be Honest and Truthful; (6) Breach of Fiduciary Duty; (7) Equitable Indemnification; and (8) Equitable Contribution.

Only the fourth through the eighth causes of action are alleged against the HOA, each of which the HOA demurs to in the moving papers.

After meeting and conferring with cross-complainants (see Declaration of Deena O. Zaki) in compliance with Code of Civil Procedure sections 430.41 (a) and 435.5 (a), the HOA filed the present demurrer to the fourth through eighth causes of action, and a motion to strike requests for attorneys' fees and punitive damages. Cross-complainants oppose both motions. At the time of writing, no reply in support of either motion has been received.

II. Demurrer Standard

In reviewing the sufficiency of a complaint (or, as here, a cross-complaint), all material facts properly pleaded are deemed admitted, but not contentions, deductions or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) Allegations must be liberally construed by drawing reasonable inferences from the facts pleaded, and with a view to substantial justice between the parties. (Code Civ. Proc., § 452; *Flynn v. Higham* (1983) 149 Cal. App. 3d 677, 679.)

III. Discussion of Demurrer

A. Fourth Cause of Action (Negligent Misrepresentation)

The HOA demurs to the fourth cause of action on the basis that the cross-complaint fails to state sufficient facts to constitute negligent misrepresentation by the HOA. The HOA specifically points to the asserted lack of allegations concerning reliance, any intent to induce such reliance, and the lack of reasonable grounds for believing the representations were true.

Cross-complainants respond that the allegations are sufficient because, among other allegations (many of which appear in the demurrer memorandum itself), they have stated that "[p]rior to Property purchase […]the HOA […] assured Cross-Complainants that [it] had investigated the facts and represented to the Cross-Complainants that no valid recorded easements or claims of easements existed against Property." This paragraph in the cross-complaint goes on to address reliance as well, stating that cross-complainants relied on these representations by entering into the purchase agreement for their property. (Cross-Complaint, ¶18.)

Negligent misrepresentation requires an assertion of fact, falsity of that assertion, and the tortfeasor's lack of reasonable grounds for believing the assertion to be true. (*SI 59 LLC v. Variel Warner Ventures, LLC* (2018) 29 Cal.App.5th 146, 154.) It also requires the tortfeasor's intent to induce reliance, justifiable reliance by the person to whom the false assertion of fact was made, and damages to that person. (*Ibid*.) Each element in a cause of action for negligent misrepresentation must be factually and specifically alleged. (*Cadlo v. Owens-Illinois, Inc*. (2004) 125 Cal.App.4th 513, 519, citation omitted.) The policy of liberal construction of pleadings is not generally invoked to sustain a misrepresentation pleading defective in any material respect. (*Ibid*.)

Here, cross-complainants allege that the HOA asserted no easement or claims of easements existed against Property. (Cross-Complaint, ¶25.) They do not allege who made such representation or that it was made with the intent to induce reliance.

"[A] plaintiff must plead facts which show how, when, where, to whom, and by what means the representations were made. When the defendant is a corporate defendant, the plaintiff must further allege the names of the persons who made the representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (*Wald v. TruSpeed Motorcars, LLC* (2010) 184 Cal.App.4th 378, 393-394, citations omitted; see also *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

Further, while plaintiffs do sufficiently allege that they relied on the misrepresentations by purchasing their property, the HOA must have intended that they rely. This does not appear to be pleaded anywhere.

As to the argument that the cross-complaint fails to allege the lack of a reasonable basis for the misrepresentations, the Court disagrees. Cross-defendants allege that the representations "were not warranted by the information that [Defendants] possessed […]." This is sufficient.

Because the cross-complaint does not allege an intent to induce reliance, and because it does not allege who from the HOA made the negligent misrepresentations, the demurrer is sustained with respect to the fourth cause of action, with leave to amend.

B. Fifth and Sixth Causes of Action (Breach of Duty to Advise and Disclose/ be Honest and Truthful; Breach of Fiduciary Duty)

The HOA demurs to the fifth cause of action on the basis that any misrepresentation alleged was prior to the arising of any fiduciary relationship with cross-complainants because they were only members of the HOA following their purchase, and because no duty to disclose any information existed before that time.

Cross-complainants respond that they have alleged ongoing misrepresentations even *after* they became owners and members of the HOA. However, no representations made after purchase would result in damages pursuant to their existing theory (that they relied on said misrepresentations by purchasing the property).

Cross-complainants also argue they have alleged conspiracy, but the elements of conspiracy include (1) the formation and operation of the conspiracy, (2) a wrongful act done in the furtherance of the conspiracy, and (3) the resulting damage to the plaintiff. (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd*. (1994) 7 Cal.4th503, 510-511.)

As to the formation element, two or more persons must agree on a common plan to commit a tortious act. (*Kidron v. Movie Acquisition Corporation* (1995) 40 Cal.App.4th 1571, 1582.) The coconspirators must have "actual knowledge that a tort is planned and concur in the tortious scheme with knowledge of its unlawful purpose." (*Ibid*.) Knowledge and intent may be inferred from the circumstances, including the nature of the acts, the relationship among the parties, and the interest of the conspirators, but mere suspicions without evidence will not support conspiracy. (*Ibid*.) Here, there is no inference that an HOA had any interest in the sale of a property. Such interest is also not explicitly alleged. The only references to a conspiracy are conclusory and relate to alleged misrepresentations by others that purportedly caused cross-complainants to purchase their property. Without more, the cross-complaint does not adequately allege that the HOA participated in a conspiracy to conceal adverse claims on title.

Accordingly, the demurrer as to this cause of action is sustained, with leave to amend.

C. Seventh and Eighth Causes of Action (Equitable Indemnification and Equitable Contribution)

The HOA demurs to these causes of action on the basis that there is no underlying liability that would give rise to them. The HOA points to plaintiffs' principal complaint, which alleges only quiet title and declaratory relief causes of action.

Cross-complainants, without citing any authority, respond that plaintiffs also seek "costs of suit," and these are damages for purposes of these causes of action.

"It is well settled in California that equitable indemnity is only available among tortfeasors who are jointly and severally liable for the plaintiff's injury." (*Stop Loss Ins. Brokers, Inc. v. Brown & Toland Medical Group* (2006) 143 Cal.App.4th 1036, 1040, citations omitted.) With limited exception, there must be some basis for tort liability against the proposed indemnitor. (*Ibid*.) Equitable contribution also applies with respect to a "right to recover from a co-obligor" a portion of a "money judgment." (See *Crowley Maritime Corp. v. Boston Old Colony Ins. Co*. (2008) 158 Cal.App.4th 1061, 1067; Code Civ. Proc., § 875 (a) [where money judgment rendered jointly against two or more defendants in a tort action, there is right of contribution among them].)

Because the underlying complaint in this action is not one for money damages, the demurrer is sustained with respect to the seventh and eighth causes of action, with leave to amend.

8. 9:00 AM CASE NUMBER: C24-02677
CASE NAME: AMERICAN MLB FEDERAL INVESTMENTS VS. SHERI KELLEHER
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF CROSS-COMPLAINT OF SHERI KELLEHER AND PAUL JONATHAN**
FILED BY: SANDERS RANCH HOMEOWNERS ASSOCIATION
TENTATIVE RULING:

Denied as moot. Please see Line 7.

9. 9:00 AM CASE NUMBER: C25-01047
CASE NAME: IRIS FLORES HERNANDEZ VS. SIPRIANO ORELLANA FUENTES
***HEARING ON MOTION IN RE: COMPEL DEFENDANT'S RESPONSE TO PLAINTIFFS' DEMAND FOR INITIAL DISCLOSURES UNDER CAL. CODE OF CIV. PROC. 2016.090 AND FOR MONETARY SANCTIONS**
FILED BY: FLORES HERNANDEZ, IRIS
TENTATIVE RULING:

On October 15, 2025, Plaintiffs made a demand pursuant to Code of Civil Procedure 2016.090 for Initial Disclosures. They made this demand by email. They have not received a response to their